BRAND LLC: US launch summary for the bank and the tax accountant

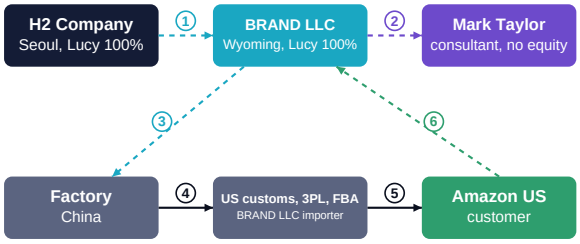
BRAND LLC
Wyoming

One page. Prepared October 8, 2026. Every number comes from the financial model (output/03_Financial_Model_5Y.xlsx) in the Medium case unless marked Low. Basis labels: Evidence based or Management estimate.

1. Who and what

- **Lucy (Hyejin Yoo)**, Seoul. Owner of **H2 Company**, a Korean sole proprietorship (registration number 599-64-00496, middle digits 64). H2 Company buys COMQ brand hybrid active optical HDMI cables from a factory in China and sells them wholesale in Korea.
- **BRAND LLC**, a Wyoming single member LLC (limited liability company), owned 100% by Lucy personally. Formation $100, about $60 per year, no state income tax. BRAND is a placeholder until the US brand name is chosen. The LLC sells on Amazon US and is the importer of record through a customs broker.
- **Mark Taylor**, Memphis. Advisor and US operations support under a written consulting or commission agreement. No equity, no office, does not negotiate or sign contracts. If he became an owner, the LLC would become a partnership (Form 1065, 37% withholding), so the plan keeps him as a consultant.
- **Tax position (Evidence based):** under the 1976 US Korea tax treaty, business profits are taxed only where the permanent establishment (PE) sits. Goods stored and shipped from Amazon FBA warehouses do not create a PE (Article 9(3)(b)). No US office, no US employees, no US agent who signs contracts. Amazon collects marketplace sales tax. California income tax nexus from FBA inventory: on the CPA list.
- **Question for the tax accountant:** should H2 Company incorporate first and own the LLC, or should Lucy own it personally (the default used here)? Decide before the capital transfer.

2. Structure, money and goods



Dashed arrows are money, solid arrows are goods. 1 capital from Lucy after the ODI report at the foreign exchange bank. 2 consulting fee to Mark. 3 purchase orders and factory payments. 4 goods: formal customs entry, BRAND LLC as importer of record through a broker with a continuous bond. 5 sales on Amazon US. 6 Amazon payouts to the LLC account, then owner draw to Lucy.

3. Filings in order, relative to the capital transfer

When	Filing	Who	Cost and note
Before any capital moves	Overseas direct investment (ODI) report to Lucy's foreign exchange bank under the Foreign Exchange Transactions Act (FTA). Required for any stake of 10% or more, any amount.	Lucy, bank, tax accountant	Bank form. Enforcement against individual online sellers is rising. Evidence based.
Weeks 1 to 2	Wyoming LLC formation with a registered agent. Exact legal name BRAND LLC used on every later form.	Lucy, attorney	$100 state fee. Evidence based.
Weeks 1 to 2, after formation	EIN (Employer Identification Number) from the IRS by phone or fax with Form SS-4. No SSN needed. Format 12-3456789.	Lucy, Mark	No fee. Evidence based.
Weeks 2 to 3	USD bank account for BRAND LLC: Mercury or Relay first, Payoneer or WorldFirst as fallback. Then the capital transfer from Lucy to the LLC account.	Lucy	Opening capital $39,000 (about KRW 55.8M at 1,430 KRW per USD). Evidence based (August ask).
After the transfer	Korean follow up reports to the same bank: remittance report, securities acquisition report, then the annual business performance report.	Lucy, tax accountant	Bank forms. Evidence based.
Weeks 3 to 4	Amazon Professional seller account: tax interview as a foreign owned entity (Form W-8BEN-E), identity verification, Brand Registry with the pending trademark.	Lucy, Mark	Trademark through a US licensed attorney, about $350 per class plus attorney fees [PLACEHOLDER: attorney quote].
Every year, US	Form 5472 with a pro forma Form 1120 to the IRS (foreign owned single member LLC). Penalty for missing it $25,000. Wyoming annual report, about $60. BOI report not required (FinCEN exemption, August 11, 2026).	Lucy, US CPA [PLACEHOLDER]	Form 5472 preparation [PLACEHOLDER: CPA quote]. Evidence based.
Every year, Korea	Overseas financial account report when the month end aggregate of overseas accounts reaches KRW 500M. Annual business performance report (ODI follow up). Korean income tax on the LLC profit through the tax accountant.	Lucy, tax accountant	Threshold and timing to be confirmed by the tax accountant. Evidence based threshold.

4. Capital need and funding gap

Item	Medium case	Low case (downside)	Basis
Opening capital, self funded by Lucy	$39,000	$39,000	Evidence based, August ask
Peak cash need (lowest cash balance before new funding)	$96K in Month 12	$114K in Month 24	Model
Funding gap (1.2 times peak need), line of credit or investor	$116K ($115,583, about KRW 165.3M)	$136K ($136,483, about KRW 195.2M)	Model
Date the funding must be in place	Month 2 (Month 1 = first month with inventory live on Amazon, assumed early 2027)	Month 2	Model
18 month Amazon US revenue and net	$1.17M revenue, $153K net (13.1%), cumulative breakeven Month 8	$633K revenue, ($20K) net, no breakeven in 18 months	Model, August basis
Year 5 revenue and net	$4.58M revenue, $613K net	$0.77M revenue, ($2K) net; Month 12 gate result KILL	Model, Management estimate

Working capital is the risk, not margin: inventory is paid 30% at order and 70% at shipment, ships before it sells, and Amazon pays 14 days after the sale. High case gap for reference: $41K by Month 1. The duty rate (copper 40.1% versus fiber 12.5%, pending a CBP binding ruling) is the single variable that separates Low from Medium.

5. Timeline, weeks 1 to 22, then the 90 day gate

Weeks	Step	Owner
1	Customs broker engaged, continuous bond (about $500 per year), CBP binding ruling request filed (30 to 90 days)	Broker, Mark
1 to 2	Brand name chosen, trademark filed; Wyoming LLC formed; EIN by Form SS-4	Lucy, attorney
Before transfer	ODI report accepted by the foreign exchange bank	Lucy, bank
2 to 3	USD bank account opened, capital transferred	Lucy
3 to 4	Amazon account, tax interview, Brand Registry	Lucy, Mark
4 to 8	Test inventory: 5 launch SKUs, 100 to 300 units each, air freight, factory QC and FNSKU labels	Lucy, factory, 3PL
6 to 9	Listings and content live; product liability insurance $1M before sales pass $10K in a month	Mark
10 to 22	90 day validation: conversion, TACOS, return rate, contribution per SKU, cash runway	Lucy, Mark
22 onward	Day 90 gate: PASS, REVIEW or KILL. Medium case result PASS. Scale winners on ocean freight, delist losers. KILL means no further capital.	Lucy

6. Contacts (placeholders until confirmed)

Lucy (Hyejin Yoo), H2 Company	[PLACEHOLDER: phone and email]	**Mark Taylor, consultant, Memphis**	[PLACEHOLDER: phone and email]	**Korean tax accountant**	[PLACEHOLDER: name, firm, phone]
Foreign exchange bank, ODI desk	[PLACEHOLDER: bank, branch, officer]	**US attorney (LLC, trademark)**	[PLACEHOLDER: name, firm]	**US customs broker and US CPA**	[PLACEHOLDER: names]

Glossary: ODI overseas direct investment report; FTA Foreign Exchange Transactions Act; EIN Employer Identification Number; LLC limited liability company; IRS Internal Revenue Service; PE permanent establishment; FBA Fulfillment by Amazon; 3PL third party logistics warehouse; PO purchase order; SKU stock keeping unit; CBP US Customs and Border Protection; TACOS total advertising cost of sales; FNSKU Fulfillment Network Stock Keeping Unit; QC quality control. Nothing here is legal or tax advice; the tax accountant, bank and attorney confirm each filing.